

2017-2018 – DEEQA – TSE – Advanced Macroeconomics

Assignment 5

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Version 1.0
18/03/2018

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- ▶ The objective is to derive the effect of a TFP shock on the macroeconomy.
- ▶ You will do so by estimating a 2-variable VAR.
- ▶ Either you get JMuTti (free program for doing long-run and short run structural vars. It does not work on Macs). (you can use something else if you prefer) or find/write some codes in MATLAB.
- ▶ Using data on Y/h and h (hours worked), and TFP (from the San Francisco Fed), use long run and short run restrictions to identify effects of TFP shocks.
- ▶ A useful reference is Jordi Gali's 1999 "Technology, Employment, and the Business Cycle : Do Technology Shocks Explain Aggregate Fluctuations?", American Economic Review, 89(1) : 249-271.